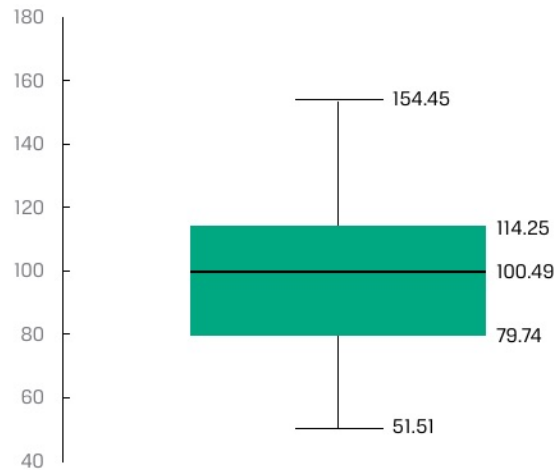


Exhibit 10: Box and Whisker Plot

8. The median is *closest* to:

- A. 34.51.
- B. 100.49.
- C. 102.98.

Solution:

B is correct. In a box and whisker plot, the “box” represents the lower bound of the second quartile and the upper bound of the third quartile, with the median or arithmetic average noted as a measure of central tendency of the entire distribution. The median is indicated within the box, which is 100.49.

9. The interquartile range is *closest* to:

- A. 13.76.
- B. 25.74.
- C. 34.51.

Solution:

C is correct. The interquartile range is the height of the box, which is the difference between 114.25 and 79.74, equal to 34.51.

3

MEASURES OF DISPERSION



calculate, interpret, and evaluate measures of dispersion to address an investment problem

Few would disagree with the importance of expected return or mean return in investments: To understand an investment more completely, however, we also need to know how returns are dispersed around the mean. **Dispersion** is the variability around the central tendency. If mean return addresses reward, then dispersion addresses risk and uncertainty.